EXECUTIVE SUMMARY

A. Introduction

1. Agency Profile

Rizal is Cagayan's epic town where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The LGU is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2016, the Municipality of Rizal had a total of 82 personnel complement with 69 permanent, 11 elective and 2 co-terminus.

2. Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2016 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year-ended December 31, 2016 with comparative figures for CY 2015 are as follows:

	2016	2015	Increase/ (Decrease)
Financial Position			
Total Assets	₱ 84,629,709.23	₱ 78,061,810.00	6,567,899.23
Total Liabilities	27,343,634.53	28,594,068.54	(1,250,434.01)
Total Government Equity	57,286,074.70	49,467,741.46	7,818,333.24
Financial Performance			
Total Income	66,930,553.53	61,887,867.74	5,042,685.79
Total Expenses	58,960,987.50	56,366,454.18	2,594,533.32

	2016	2015	Increase/ (Decrease)
Appropriations, Allotments and Obligations			
Total Appropriations-Current	66,865,572.40	61,492,302.00	5,373,270.40
Total Obligations	62,029,505.32	61,492,302.00	537,203.32
Appropriations-Continuing	-	-	-
Obligations-Continuing	-	-	-

During the CY 2016, the Municipality of Rizal received a total of ₱14,614,665.00 from other government agencies and made no fund transfer to any government agency, as follows:

	2016	2015	Increase/ (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱14,614,665.00	₱11,122,005.93	₱3,492,659.07
Local Government Units	-	1,000,000.00	(1,000,000.00)
Non-Government Organizations/People's Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**₱14,614,665.00**	**₱12,122,005.93**	**₱2,492,659.07**
Funds Transferred to:			
NGAs	-	-	-
Local Government Units	-	-	-
NGOs/POs	-	-	-
Total	**₱ -**	**₱ -**	**₱ -**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Rizal for the year ended December 31, 2016 due to the following:

1. Inadequate accounting and property records to ascertain the propriety and reliability of the recorded Property, Plant and Equipment account totaling ₱61,727,877.35. Due to inadequacy of records and documents we were not able to satisfy ourselves as to the carrying value of properties as at December 31, 2016.

2. Absence of supporting documents and rightful creditors to establish the validity and existence of Due from GOCCs and Due from LGUs accounts totaling ₱2,161,652.37 and ₱1,916,881.80, respectively.

D. Summary of Significant Observations and Recommendations

1. **The documentary and procedural requirements of the procurement law were not strictly followed by management hence incomplete bidding documents were submitted for various projects totaling ₱3,065,542.10.**

   We recommended that management submit the identified lacking documents to support the public bidding conducted and strictly observe the documentary and procedural requirements of the procurement law.

2. **The Notices of Suspensions totaling ₱15,304,278.96 remained unsettled at year-end because management did not submit the required supporting documents of suspended transactions**.

   We recommended that management enforce the immediate settlement of the suspended transactions by the submission of complete supporting documents required in the Notices of Suspension.

3. **The unexpended balance of the Quick Response Fund (QRF) and the Disaster Risk Reduction Management Fund – Maintenance and Other Operating Expenses (DRRMF-MOOE) of CYs 2015 and 2014 totalling ₱833,563.49 was not reported as of December 31, 2016 and the same amount together with the unexpended balance of the fund during the year of ₱396.07 was not transferred to a Special Trust Fund under the account "Trust Liability-DRRM" in the Trust Fund books.**

   We strictly recommended that management immediately transfer the unexpended balance of the DRRMF to a Special Trust Fund under the account "Trust Liability – DRRM".

4. **Management's assertions of occurrence, accuracy, validity and completeness of various transactions could not be ascertained because supporting documents for several disbursements totaling ₱3,961,187.56 were not submitted.**

   We recommended that management cause the immediate submission of the required documents to justify the legality or validity of the disbursements.

E. Summary of Total Suspensions, Disallowances and Charges

The status of Suspensions as of December 31, 2016 is summarized bellows. There were no disallowances and charges during the year.

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Year	-	₱ 16,804,278.96	₱ 1,500,000.00	P 15,304,278.96	8.93%
Total	**-**	**₱16,804,278.96**	**₱ 1,500,000.00**	**P 15,304,278.96**	**8.93%**

F. Status of Implementation of Prior Years' Audit Recommendations

Out of the 13 audit recommendations embodied in the 2015 Annual Audit Report, none was implemented, six (6) were partially implemented and seven (67 were not implemented.